BOARD PAPER · FOR THE BOARD MEETING IN Q2 FY27

Investment case: AI-enabled claims transformation

Item	Detail
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Paper type	For approval

1. Background

Claims are the heart of our promise to customers and represent around two thirds of our net insurance revenue. Over the last three years the claims environment has changed markedly: natural-hazard events are more frequent, repair costs have risen, and customers expect digital, real-time service of the kind they receive from banks and retailers.

Across the industry, insurers are investing heavily in data and artificial intelligence to transform claims. Our competitors are moving and we cannot afford to fall behind. Our own claims teams have done an outstanding job through a difficult year, but our processes remain heavily manual.

Over the past six months management has worked with leading technology providers to understand what is possible. This paper sets out what we have learned and the opportunity in front of us.

EXECUTIVE SUMMARY

Executive summary

AI is now proven in insurance claims. By deploying an integrated AI claims platform we can transform the customer experience, reduce claims leakage and free our people to focus on complex and vulnerable customers.

The programme will **improve our combined operating ratio by around 3 percentage points** at full run rate, **pay back within 18 months**, and position Harbourline as the digital leader in Australian claims.

Industry studies show AI reduces claims leakage by up to 30%, and our preferred vendor's case studies demonstrate a 40% reduction in claims cycle time.

Management recommends proceeding with Option C, the full transformation, in partnership with ClaimSense AI.

CONTEXT

2. The problem we are solving

Cycle time. Average home claim cycle time was 17 days in FY26 against a target of 14 days.

Leakage. We estimate that claims leakage (paying more than we should, through overpayment, fraud or process error) is around 6% of addressable claims cost. This estimate has not yet been validated by Internal Audit or the Appointed Actuary.

Cost to serve. Claims handling expenses were A$690m in FY26. Around 60% of claims staff time is spent on low-value, low-complexity claims.

Customer experience. Claims NPS improved by only 2 points in FY26 and AFCA complaints about claims delays increased in the second half.

PROPOSAL

3. What we propose to build

Capability	What it does
Intelligent triage	Routes every new claim by complexity, vulnerability and fraud risk at lodgement
Leakage and fraud analytics	Flags overpayment and suspicious patterns before settlement
Straight-through processing (STP)	Automatically settles, partially declines or declines simple claims under A$5,000 without handler involvement
Assessor co-pilot	Summarises photos, reports and policy wording for claims handlers

The platform will be provided by ClaimSense AI (a fictional vendor) as a software-as-a-service solution. Models are hosted and trained in the vendor's offshore cloud region, using our historical claims, policy and customer data. ClaimSense has strong references from insurers in other markets.

OPTIONS AND RECOMMENDATION

4. Options considered

Option	Description	Assessment
A. Do nothing	Continue incremental process improvement	Falls further behind competitors
B. Phased build	Start with triage and assessor co-pilot only	Too slow; benefits delayed
C. Full transformation (recommended)	All four capabilities with ClaimSense AI over three years	Delivers full benefits fastest

5. Recommendation and decision sought

The Board is asked to approve an investment of **A$64.0m** over FY27 to FY29 for Option C, and to authorise management to execute a five-year agreement with ClaimSense AI.

FINANCIALS

6. Investment and benefits

A$m	FY27	FY28	FY29	Total
Platform implementation	18.0	12.0	6.0	36.0
Data migration and integration	6.0	6.5	4.0	16.5
Change management and training	4.0	4.0	3.5	11.5
Total investment	**28.0**	**22.5**	**13.5**	**64.0**

Annual benefit at full run rate	A$m
Leakage reduction	55.1
Claims handling efficiency	25.0
Total annual benefit	**80.1**

Benefits ramp up from FY27 and reach full run rate in FY30. On these figures the investment pays back within 18 months of go-live. Detailed assumptions are in Appendix A. The supporting model is maintained by the Claims Finance team (business-case-model.xlsx).

RISKS

7. Key risks and mitigations

Risk	Mitigation
Delivery: programme runs late or over budget	Experienced programme director; monthly steering committee
Adoption: staff do not use the new tools	Change management and training budget of A$11.5m
Vendor performance	ClaimSense has strong references; service levels in contract
Data privacy	Standard contractual privacy clauses

Management considers the overall risk of the programme to be within appetite.

IMPLEMENTATION

8. Timeline and governance

Phase	Timing	Scope
Mobilise	Q3 FY27	Contract, programme team, data access for vendor
Wave 1	Q4 FY27 to Q2 FY28	Triage and assessor co-pilot for motor
Wave 2	Q3 FY28 to Q2 FY29	STP and leakage analytics for motor and home
Wave 3	FY29	Commercial and New Zealand

The programme will report to the Executive Committee monthly and to the Board quarterly.

APPENDICES

Appendix A. Benefit assumptions

Assumption	Value	Source
Addressable claims cost (motor and home)	A$4.5bn	FY26 actuals
Current leakage rate	6%	Management estimate
Leakage reduction from AI	30%	Industry studies
Realisation factor	68%	Management judgement
Claims handling efficiency	A$25m p.a.	Vendor estimate

Appendix B. People impacts

Approximately 380 claims roles will be redesigned or redeployed over three years as low-complexity work is automated. A detailed workforce plan will be developed after approval.